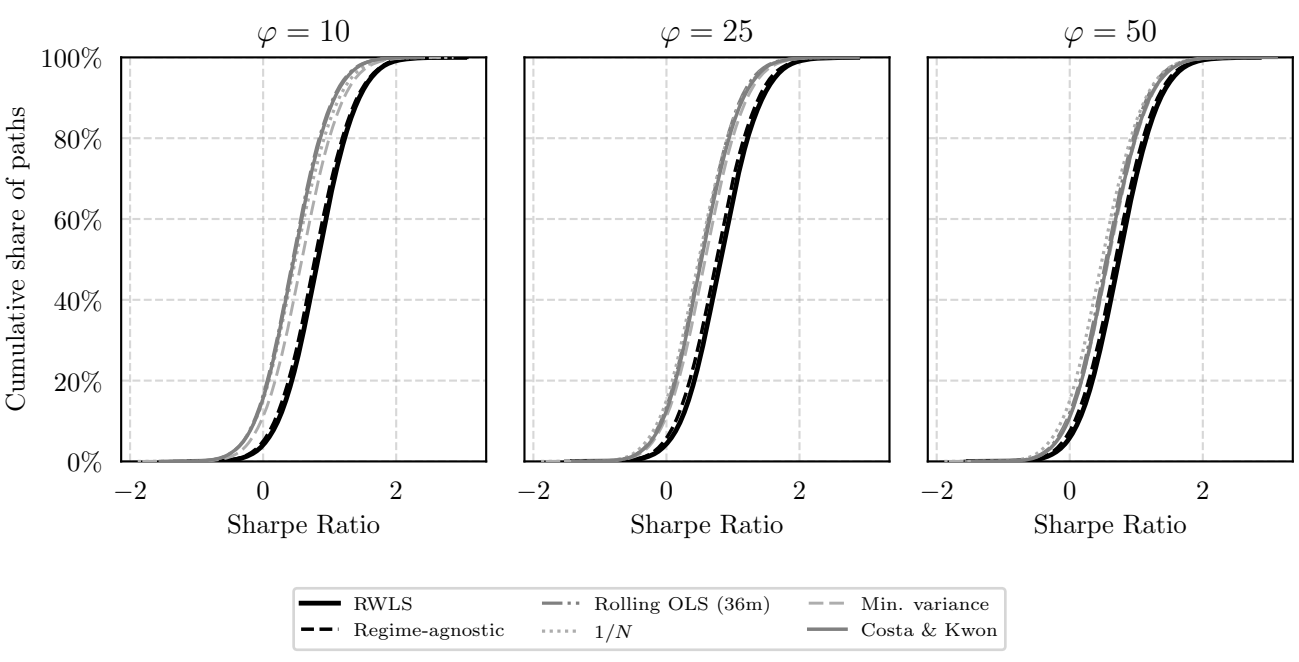

$\varphi = 10$
$\varphi = 25$
$\varphi = 50$
Cumulative share of paths
100%
80%
60%
40%
20%
0%
−2
0
2
Sharpe Ratio
RWLS
Regime-agnostic
Rolling OLS (36m)
$1/N$
Min. variance
Costa & Kwon